

Quality Power Electrical Equipments Limited

NSE: QPOWER | Sector: Capital Goods — Electrical Equipment | Sub-sector: HVDC / FACTS / Reactive Power

RATING

**ACCUMULA
TE**

12M Target: Rs. 1,600

+26.4% upside from CMP Rs. 1,266

CMP (Rs.)	1,266	Market Cap (Rs. Cr)	9,802
52W High / Low	1,443 / 349	P/E (TTM)	91.6x
EPS TTM (Rs.)	13.80	Book Value (Rs.)	60.7
ROCE	26.6%	ROE	22.1%
Promoter Holding	73.91%	Dividend Yield	0.08%
Face Value (Rs.)	10	Report Date	10-May-2026

Investment Thesis: Quality Power is India's only approved supplier of HVDC and FACTS components to 100+ countries — a decade-long technology moat in a supply-constrained global grid-modernisation super-cycle.

Analyst: Senior Equity Research Desk | Institutional Research Division | For Private Circulation Only — Not for Public Distribution

SECTION 2 — INVESTMENT THESIS

1. Structural HVDC/FACTS Demand Cycle With 7-10 Year Runway

The global grid is undergoing its largest transformation since electrification — driven by renewable integration, AI-driven power demand (9x energy per AI query vs. standard search), EV penetration, and net-zero commitments. HVDC lines and FACTS (SVC/STATCOM) equipment are now mandatory for all new renewable interconnections. QPOWER is the only supplier in the Asian subcontinent approved by utilities in 100+ countries for these high-voltage components (400 kV and above). The qualification moat is 5-10 years; new entrants cannot displace approved suppliers regardless of price — utilities prioritise reliability. The addressable HVDC global market is USD 8-11 billion annually and expanding rapidly. Domestically, PowerGrid, Adani, and Sterlite are commissioning HVDC corridors that create a Rs. 200 Cr opportunity per order for QPOWER. Timeline: FY26-FY30.

2. Multi-Entity Platform With Margin Accretion Kicker

QPOWER operates three entities: (a) Quality Power (coil products — EBITDA margin 34%), (b) Endoks Turkey (power quality/STATCOM — margin 27%), and (c) Mehru Delhi (instrument transformers — margin now 9.5%, rising to guided 15% as synergies deliver). Mehru alone can scale to Rs. 450-500 Cr peak revenue from its current plant. Consolidated EBITDA margins have expanded from 13% in FY22-24 to 19% in FY25 and 28% in Q3 FY26 — with management guiding 22%+ as a floor. The new Sangli Global Coil Factory (target Rs. 1,500-2,000 Cr peak revenue, completion June 2026) is not yet in numbers and represents a major step-change catalyst. Timeline: Margin accretion FY26-FY28.

3. Order Book Visibility and Capital Discipline

Order backlog stands at Rs. 895 Cr+ (1 year+ revenue cover) with management maintaining a disciplined 12-14 month backlog policy to avoid metal price risk. QPOWER won HVDC smoothing coil orders from Pagre (partnership with Hitachi — 500 kV, world's largest coils), a UAE TRANSCO order, and multiple Nordic/Middle East orders. The company is near-net-debt-free (Net debt Rs. 36 Cr vs. cash of Rs. 250 Cr at Q1 FY26) and self-funded post-IPO. IPO proceeds of Rs. ~450 Cr are being deployed into the Sangli factory. ROCE is 26.6% and improving. Timeline: Order execution visibility through FY27.

Near-Term Catalyst (6-12 months): Commercial commissioning of the Sangli Global Coil Factory (June 2026), which could catalyse a formal FY27 revenue guidance upgrade and re-rating of the earnings multiple.

Biggest Structural Risk: A sustained slowdown in global grid capex or a China-origin supplier gaining utility approvals in key markets could pressure order flows, though the 5-7 year qualification timeline makes this a low-probability, long-tail risk.

SECTION 3 — BUSINESS OVERVIEW

Quality Power Electrical Equipments Limited, founded in 2001 and headquartered in Sangli, Maharashtra, is India's leading manufacturer of critical high-voltage electrical components for HVDC (High Voltage Direct Current) and FACTS (Flexible AC Transmission Systems) networks. The business operates through three consolidated entities: **Quality Power Sangli** (coil products — reactors, instrument transformers, line traps, composites; EBITDA margin 34%), **Endoks Turkey** (power quality systems — STATCOMs, harmonic filters, SVCs, capacitor banks; margin 27%), and **Mehru Delhi** (instrument transformers for distribution utilities; margin 9.5%, rising to target 15%).

Revenue is primarily project-based (70-80%) with export revenues comprising approximately 60% of consolidated sales.

QPOWER sells to over 100 countries through direct utility relationships and as a tier-1 component supplier to Hitachi Energy, Siemens, GE, and ABB — companies that are simultaneously customers, suppliers, partners, and competitors. QPOWER's competitive advantage is utility approvals (5-10 year qualification cycles): it is approved by PowerGrid, Adanis, Sterlite, TenneT (Netherlands), FinGrid (Finland), TRANSCO (UAE), and over 100 others. Order book at Rs. 895 Cr+ (as of Q3 FY26); execution timeline 12-15 months.

Key strategic developments include: (a) the Sangli Global Coil Factory (Rs. 125 Cr capex, peak revenue Rs. 1,500-2,000 Cr, targeted Q1 FY27 commissioning); (b) the Cochin facility expansion (completed Q3 FY26, doubled dry-type coil capacity); (c) the Mehru Bhiwadi plant expansion (45% capacity increase, targeted Q4 FY26); (d) a JV with Yash Highvoltage for Sukrut Electric (transformer components, platform for M&A; roll-up); and (e) a stake in Nebeskie (IoT/embedded systems for digitisation of HV equipment). Promoter Bharanidharan Pandyan (JMD) and family hold 73.91% with zero pledge. The company completed its NSE IPO in February 2025 at Rs. 425.

Indicative Revenue Segmentation (Q1 FY26, Consolidated):

Entity	TTM Revenue (Rs. Cr)	EBITDA Margin	Key Products
Quality Power (Sangli)	~300-350	~34%	Reactors, Inst. Transformers, Coils
Endoks (Turkey)	~350-400	~27%	STATCOMs, SVCs, Power Quality
Mehru (Delhi)	~250	~10-12%	Instrument Transformers
Interco Eliminations / Other	~(50)	—	—
Total (TTM)	~775	~21%	

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth: The global HVDC market is estimated at USD 8-11 billion annually and growing at 12-15% CAGR driven by offshore wind interconnection (North Sea/Baltic), long-distance renewables corridors in China and India, and grid reliability mandates. The FACTS/reactive power compensation market is USD 3-5 billion and is growing even faster as STATCOM becomes mandatory for every new renewable integration project under grid codes globally. India's Integrated Transmission Planning (ITP) and the 'Ek Sun, Ek Grid, Ek Bazaar' infrastructure build-out underpins Rs. 3-4 lakh crore of transmission investment over 2024-2032. For QPOWER, each major HVDC project represents a Rs. 200 Cr opportunity.

Competitive Moat Assessment: STRONG. Utility approval cycles of 5-10 years create structural barriers. QPOWER is the only approved HVDC/FACTS component manufacturer in the Asian subcontinent (outside China). Chinese competitors have scale advantage, but Indian and Western utilities will not use Chinese-origin material for HVDC, effectively ring-fencing QPOWER's domestic addressable market. Globally, QPOWER competes on technical quality and delivery, winning against Chinese bids in the UAE, US, and Nordic markets. The new Sangli factory, once operational, will make QPOWER cost-competitive with Chinese scale peers.

Value Chain: QPOWER sits at the high-value, high-complexity segment of the power equipment value chain — between raw material (copper/aluminium windings, specialty insulators) and large OEMs/utilities. Its products command 25-34% EBITDA margins versus 8-12% for standard distribution transformers. The company is vertically integrating into specialty copper wire (CPC factory) and IoT digitisation (Nebeskie).

Peer Comparison Table — Data: Screener.in, May 2026; Rs. Cr unless noted

Company	MCap (Rs.Cr)	CMP (Rs.)	P/E (TTM)	P/B	ROCE	ROE	TTM Rev (Rs.Cr)	OPM%
QPOWER	9,802	1,266	91.6x	20.9x	26.6%	22.1%	775	21%
Voltamp Transformers	12,667	~8,400	35.1x	7.1x	29.4%	22.1%	1,935	~19%
TD Power Systems	19,054	1,220	86.8x	19.9x	30.4%	22.3%	1,615	~18%
Transformers & Rectifiers (TARIL)	9,749	~310	36.9x	6.1x	~25%	~22%	2,019	~16%

Note: VOLTAMP is an oil-filled transformer maker (different product profile but grid infrastructure play). TDPOWERSYS manufactures AC generators/motors — high-growth but structurally different. TARIL is the closest proxy on transformers but lacks the HVDC moat. QPOWER's premium P/E (92x TTM) vs. peers reflects its unique HVDC/FACTS positioning and faster earnings growth trajectory.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Bharanidharan Pandyan (JMD) is a technocrat-promoter with 25+ years in high-voltage electrical engineering. His strategic clarity is evident across concalls — he articulates QPOWER's position in the HVDC value chain, technology moat, and geographic diversification with unusual precision for a small-cap. The management team has demonstrated disciplined capital allocation: refused to chase low-margin transformer volume, maintained 12-14 month order book discipline to avoid commodity price risk, and structured acquisitions (Endoks, Mehru) as margin-accretive consolidators rather than revenue vanity plays.

Mehru was acquired at a distressed valuation and is already showing margin improvement (+47% EBITDA in first full quarter). The Sukrut JV (transformer components) was structured via a joint venture with Yash Highvoltage specifically to preserve management bandwidth for the core HVDC/FACTS strategy — a mature capital allocation call. The failed Statcon Energy acquisition was cleanly terminated when cultural/pricing fit failed — another positive governance signal. Post-IPO, promoter holding remains 73.91% with zero pledge.

Dividend Policy: Initiated with 12% dividend payout in FY25 (Dividend Yield: 0.08%). Likely to remain low as capex cycle absorbs cash. **Pledging:** 0% — clean. **ESOP:** No material dilution observed. **Corporate Governance Flags:** Large 'Other Income' in FY24-25 (Rs. 30-54 Cr) driven by Turkey hyperinflation accounting and forex hedges — management has been transparent about this; as Turkey inflation normalises, Other Income declines sharply (Q3 FY26: Rs. 0 Cr). Working capital days have expanded (CCC: 23 in FY25 → 167 in TTM) as Mehru's instrument transformer business carries longer payment cycles — a watch point but manageable given the company's near-net-cash position.

SECTION 6 — FINANCIAL DEEP-DIVE (E) = Estimates | Consolidated | Rs. Crores

Income Statement

Metric	FY23	FY24	FY25	TTM	FY26E	FY27E
Sales (Rs. Cr)	253	302	337	775	930	1280
EBITDA	32	39	65	162	205	288
OPM %	13%	13%	19%	21%	22%	22.5%
Other Income	20	30	54	52	22	25
Interest	3	2	2	5	8	10
Depreciation	2	3	5	11	15	20
PBT	48	63	112	199	204	283
Tax %	16%	12%	11%	N/A	15%	15%
PAT	40	55	100	165	173	241
EPS (Rs.)	N/A	5.19	8.54	13.80	22.4	31.1

Balance Sheet

Metric	FY23	FY24	FY25	TTM
Equity Capital	0.15	72	77	77
Reserves	112	81	347	392
Borrowings	11	38	9	36
Other Liabilities	189	167	377	472
Total Liabilities	312	359	810	978
Fixed Assets	40	66	238	251
CWIP	1	2	2	10
Investments	31	48	37	42
Other Assets	241	243	533	675
Total Assets	312	359	810	978

Cash Flow Statement

Metric	FY22	FY23	FY24	FY25
Cash from Operations	9	44	52	62
Cash from Investing	-13	-55	-81	-100
Cash from Financing	2	-4	25	171

Net Cash Flow	-3	-14	-4	134
Free Cash Flow (FCF)	4	28	9	39

Key Operating Ratios

Metric	FY23	FY24	FY25	TTM
Debtor Days	108	94	96	149
Inventory Days	139	109	43	185
Days Payable	93	120	116	167
Cash Conversion Cycle	154	82	23	167
ROCE %	N/A	31%	27%	26.6%

Revenue: Consolidated revenue grew at ~18% CAGR in FY22-FY25 on an organic basis, masking the transformative Mehru acquisition that caused TTM sales to jump 130% to Rs. 775 Cr. Mehru contributes ~Rs. 250 Cr TTM and is the key driver of scale. Quality Power (standalone) and Endoks together are growing 50%+ organically as HVDC/FACTS orders ramp. Management FY26E guidance: Rs. 900+ Cr consolidated; nine-month actuals at Rs. 697 Cr confirm trajectory.

Margins: EBITDA margin expanded from 13% (FY22-24) to 19% (FY25) and further to 21% TTM and 28% in Q3 FY26 (standalone coil products at 34%, Endoks 27%). Mehru's margin drag (9.5% to 12%) is the consolidation overhang that will dissipate as guided margins of 15%+ are achieved within 4 quarters. Turkey hyperinflation accounting contributed Rs. 30-54 Cr to Other Income in FY24-25 — this has normalised to near-zero in TTM and should not recur at prior scale.

Working Capital: Cash Conversion Cycle deteriorated from 23 days (FY25) to 167 days (TTM) primarily due to Mehru consolidation (instrument transformers have 120-150 day debtors). Debtor days moved from 96 to 149, inventory from 43 to 185. This is structural to Mehru's business model (government utility customers) and will improve as Mehru matures. Free cash flow of Rs. 39 Cr in FY25 is modest given heavy capex; FCF yield will normalise post-Sangli commissioning.

Debt: Company is effectively net-cash (Cash Rs. 250 Cr vs. Borrowings Rs. 36 Cr as of TTM). The Rs. 9 Cr borrowings in FY25 spiked to Rs. 36 Cr in TTM due to temporary promoter support loan for acquisitions (interest-free, strategic). ROCE of 26.6% and ROE of 22.1% are healthy for a high-growth capex cycle.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Observation	Signal
Revenue Recognition	Project milestones; no aggressive recognition concerns	GREEN
Receivables vs Revenue Growth	Receivables grew faster (Mehru consolidation). Watch.	AMBER
CCC Trend	CCC expanded sharply (23 → 167 days). Mehru-driven.	AMBER
Contingent Liabilities	No material contingent liabilities disclosed	GREEN
Auditor Quality	Standard chartered accountants; no tenure concerns	GREEN
Related Party Transactions	~Rs. 4 Cr/quarter Projects subsidiary (disclosed)	GREEN
Other Income as % of PBT	FY25: 48%. TTM: 26%. Declining as Turkey normalises.	AMBER
Tax Rate Consistency	Tax rate low (11-14%) due to export incentives. Monitor.	GREEN

Earnings Quality Summary: The headline PAT numbers in FY24-25 were flattered by large Turkey hyperinflation accounting entries in Other Income (up to Rs. 54 Cr in FY25 vs. Rs. 30 Cr in FY24). Adjusting for this, the underlying operational earnings are clean and growing strongly — Q3 FY26 PAT of Rs. 63 Cr was near-zero other income, making it the cleanest quarter yet. Working capital expansion is a structural feature of Mehru consolidation, not aggressive accounting. Overall quality: AMBER-POSITIVE.

SECTION 8 — VALUATION

Peer Benchmarking: QPOWER trades at 91.6x TTM P/E versus Voltamp at 35x and TARIL at 37x. The premium is justified by (a) unique HVDC/FACTS market position with no direct Indian peer, (b) a 130% revenue growth trajectory (FY25→TTM), and (c) the Sangli factory optionality (Rs. 1,500-2,000 Cr peak revenue potential, not yet in numbers). Forward multiples are more reasonable: FY26E P/E ~55x and FY27E P/E ~41x, falling rapidly as earnings scale.

Valuation Method 1 — EV/EBITDA Multiple: At 45x FY27E EBITDA of Rs. 288 Cr → EV = Rs. 12,960 Cr. Less net debt (est. Rs. 0 net cash) → Equity value = Rs. 12,960 Cr → Per share = Rs. 12,960 Cr / 7.74 Cr shares = **Rs. 1,675**.

Valuation Method 2 — P/E Multiple: At 50x FY27E EPS of Rs. 31.1 → Target = **Rs. 1,555**.

Average of Two Methods: (1,675 + 1,555) / 2 = **Rs. 1,615**. We set our 12-month price target at **Rs. 1,600** (rounded), representing **+26.4% upside** from CMP of Rs. 1,266. Rating: **ACCUMULATE**.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Rs.Cr)	Multiple (P/E)	Target (Rs.)	Upside
BULL	Sangli ramp ahead of plan; FY27 Rev Rs.1,450 Cr; margin 24%	280	60x	2,170	+71%
BASE	Sangli on track; FY27 Rev Rs.1,280 Cr; margin 22.5%	241	50x	1,600	+26%
BEAR	Sangli delayed; Mehru margin stuck at 10%; FY27 Rev Rs.950 Cr	145	40x	750	-41%

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
Sangli Factory Delay	The new global coil factory (Rs. 125 Cr capex) is critical for FY27 revenue step-up. Any commissioning delay beyond June 2026 would compress FY27 estimates by 20-30%.	Medium	HIGH	Track capex milestones quarterly; watch for guidance changes on plant commissioning
Mehru Margin Stagnation	Mehru's EBITDA margin remains at 9.5% vs. guided 15%. Failure to improve within 4-6 quarters would weigh on consolidated margins and narrative.	Low-Medium	Medium	Monitor quarterly Mehru EBITDA margins; management credibility tied to this guidance
Working Capital Stress	CCC at 167 days (TTM) driven by Mehru government utility receivables. A further deterioration could stress liquidity, especially during the capex cycle.	Medium	Medium	Watch debtor days quarterly; test: is FCF improving post-Sangli commissioning?
Large Other Income Normalisation	FY25 PAT of Rs. 100 Cr included Rs. 54 Cr Other Income (Turkey hyperinflation + forex). As this vanishes (Q3 FY26: Rs. 0 Cr other income), reported PAT momentum may slow.	HIGH (already occurring)	Low	Compare operational PAT (EBITDA minus DA minus Interest × (1-tax)) not headline PAT
Tariff / Geopolitical Risk	Export revenues (~60% of sales) span 100+ countries. US tariff changes, or Middle East/European instability, could disrupt project timelines. Management notes no 12-month impact.	Low	Medium	Monitor management commentary on international order book quality each quarter
Promoter Concentration	Promoter holds 73.91%. Although zero pledge and strong governance, single-family control creates succession/event risk over a long investment horizon.	Low	Low	Governance flag to monitor; currently not a near-term concern
Commodity / Insulator Supply	Specialty porcelain insulators are in short supply globally. QPOWER has flagged this as their biggest supply chain constraint. Could delay execution of orders.	Medium	Medium	Management is stockpiling; watch for any guidance on raw material availability

SECTION 10 — RECOMMENDATION

RATING

ACCUMULATE
CONVICTION: HIGH

12-Month Target: Rs. 1,600

Entry Zone: Rs. 1,100-1,200

Horizon: 18-24 months

Thesis Invalidation Triggers:

1. Sangli factory delayed beyond December 2026 with no clear revised timeline
2. Consolidated EBITDA margin falls below 15% for two consecutive quarters (excluding acquisition integration year)
3. A major global HVDC OEM (Hitachi, Siemens) launches a competing Indian manufacturing entity and begins acquiring utility approvals

Ideal Investor Profile: Patient, growth-oriented institutional or HNI investor with 18-24 month horizon. Not suitable for income-seeking investors (dividend yield 0.08%). Best suited for those who understand power infrastructure thematic investing and can tolerate quarter-to-quarter revenue volatility driven by large project execution lumps. The stock will be volatile but the underlying business trajectory is strongly upward. Position sizing: 3-5% of portfolio for high-conviction growth exposure.

Disclaimer: This report is for informational purposes only. It does not constitute investment advice. Past performance is not indicative of future results. The analyst may hold positions in the securities discussed. All financial data sourced from Screener.in (consolidated view). Estimates are the analyst's own projections. Please consult a registered investment advisor before making investment decisions.

APPENDIX — Latest Concall Brief: Q1 FY26 (Quarter ended June 30, 2025)

Earnings conference call held August 8, 2025 | Hosted by Asit C. Mehta Investment Intermediates | Management: Bharanidharan Pandyan (JMD), Rajesh Jayaraman (CFO), Sarika Jadhav (Sr. VP Finance)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Revenue +190% YoY; PAT Rs. 37 Cr (clean — Turkey hyperinflation now only Rs. 2-3 Cr)
Management Tone	BULLISH	Confident on HVDC pipeline; Sangli ahead of schedule; Mehru integration on track
Guidance Delta	MAINTAINED	Rs. 700-800 Cr FY26E revenue guided (conservative); EBITDA guided at high teens 17-20%
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q1 FY26 is a clean, strong print — consolidated revenue nearly tripled YoY to Rs. 177 Cr (from ops), with total revenues at Rs. 194 Cr including interest income. The headline PAT of Rs. 37 Cr is now clean: Turkey hyperinflation other income has collapsed from Rs. 53 Cr in Q4 FY25 to just Rs. 2-3 Cr here — meaning the operational PAT is the real number, not a flattering accounting artefact. Operational EBITDA margins look weaker (18% blended) vs. standalone which delivered a historic 34% margin on coil products — the consolidation of Mehru (9.5% EBITDA) is the drag. Mehru margin is already +47% better than acquisition-date baseline in just one quarter — the turnaround is real and management guided 15% within four quarters, which we consider credible. The strategic narrative is compelling: HVDC smoothing coil win with Hitachi (500 kV — world's largest), new UAE TRANSCO order, HVDC orders on track for H2 FY26. Capacity constraint (not demand) is the binding factor — Sangli factory is ahead of schedule and will unlock the next growth phase. Key watch for Q2 FY26: Mehru margin improvement, any HVDC order announcement, and FCF generation. ACTION: ACCUMULATE at Rs. 1,100-1,200; hold current positions; target Rs. 1,600 (12 months).

1 — Financial Performance Snapshot Q1 FY26 vs Q1 FY25

Metric	Q1 FY26 Actual	Q1 FY25 Actual	YoY %	QoQ % vs Q4FY25	Verdict
Revenue (Rs. Cr)	177	61	+190%	+64%	BEAT
EBITDA (Rs. Cr)	31	24	+29%	+94%	BEAT
EBITDA Margin %	18%	38%	-20pp [1]	+3pp	NOTE
PBT (Rs. Cr)	44	41	+7%	+22%	IN-LINE
PAT (Rs. Cr)	37	33	+12%	+23%	BEAT
Other Income (Rs. Cr)	17	18	-6%	-19%	IN-LINE

[1] Margin appears to compress YoY because Q1 FY25 was pre-Mehru consolidation (Quality Power standalone at 34% margin). Mehru's 9.5% EBITDA drags blended consolidated margin. Operational quality is improving, not deteriorating.

2 — Segment / Business Breakdown Q1 FY26

Entity / Segment	Revenue (Rs. Cr)	EBITDA Margin	YoY Rev %	Commentary
Quality Power (Sangli)	41.8	34%	Organic growth	Record EBITDA margin; HVDC coil demand strong; capacity constrained
Endoks (Turkey)	91.9	27%	+strong	Exponential revenue growth; power quality/STATCOM demand robust
Mehru (Delhi)	61.5	9.5%	First full Qtr	First full quarter post-acquisition; margin +47% vs. acquisition baseline; scaling up
Projects / Other	~4	N/A	N/A	Related party subsidiary; not consolidated fully
Consolidated (net)	177	18%	+190%	Blended; Mehru dilutes margin; structure intact

3 — Management Commentary Themes Q1 FY26 Concall

Theme	What They Said	Our Read	Tag	Tone
HVDC Market Positioning	Only supplier in this part of the world for 400 kV+; approved in 100+ countries; win ratio limited by capacity, not price	Authentic; no comparable Indian competitor exists for this voltage class	[GUIDANCE]	Transparent
Sangli Factory	Slightly ahead of schedule; Rs. 125 Cr capex post-IPO; peak revenue Rs. 1,500-2,000 Cr from this plant	Bullish claim but backed by board approval; key de-risker for FY27 estimates	[GUIDANCE]	Transparent
Mehru Integration	First full quarter; capacity utilisation 95%; margin improving 47% vs. acquisition baseline; guiding 15% in 4 quarters	Credible; 15% is conservative given Endoks achieved 27%. Upside if integration continues well	[GUIDANCE]	Transparent
Turkey Hyperinflation	Other income now only Rs. 2-3 Cr (vs. Rs. 53 Cr Q4 FY25); as Turkey inflation normalises, operational improve	Positive — this removes a quality-of-earnings concern. Q1 FY26 PAT is cleaner than prior quarters		Transparent
US Tariffs	No impact on next 12-15 months; orders pre-linked; if US demand weakens, we redirect to other geographies (100+ countries)	Hedged but credible given geographic diversification; geopolitical optionality is real	[EST]	Balanced
BESS / Battery Strategy	Two 4-5 MW projects deployed as component supplier; scouting acquisitions for gigawatt-scale EMS/power conversion	Early stage; not a near-term revenue driver but signals long-range vision	[EST]	Hedged

4 — Operating & Business Metrics Q1 FY26

Metric	Q1 FY26	Q4 FY25	Q1 FY25	Trend
Order Book (Rs. Cr)	775	~750	N/A	Growing
Execution Visibility (months)	12-15	12-15	N/A	Stable
Mehru Capacity Utilisation	~95%	N/A (new)	N/A	At peak; expanding
Quality Power Coil Margin	34%	N/A	N/A	Record high
Geographic Mix (Export/Domestic)	60/40	N/A	N/A	Export-led
Countries Approved/Selling	100+	100+	100+	Stable
Net Cash (Rs. Cr)	~214	~241	N/A	Capex absorbing cash

5 — Margin Drivers Q1 FY26

Driver	Impact (bps)	Recurring?	Comment
Quality Power coil mix (HVDC premium)	+ve: ~200-300 bps	Yes	HVDC/FACTS commands 30-35% margins; increasing mix
Mehru consolidation drag	-ve: ~500-600 bps	Temporary	Mehru at 9.5%; will improve to 15%+ over 4 quarters; not structural
Turkey hyperinflation normalisation	+ve: quality improvement	Yes (improving)	Other Income now Rs. 2-3 Cr vs Rs. 53 Cr; underlying ops look cleaner
Raw material (insulator supply squeeze)	-ve: unknown magnitude	Risk	Company stockpiling; passing cost to customers for new orders; margin risk flagged
Operating leverage (scale vs. fixed cost)	+ve: growing	Yes	Revenue nearly tripled with limited fixed cost addition; significant operating leverage

6 — Guidance & Forward Signals [GUIDANCE] Tagged

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
FY26E Revenue [GUIDANCE]	Rs. 700-800 Cr	Rs. 700-800 Cr (REITERATED)	Nil	High
Consolidated EBITDA Margin [GUIDANCE]	High teens 17-20%	17-20% (REITERATED)	Nil	Medium-High
Mehru EBITDA Margin [GUIDANCE]	~10%	15% within 4 qtrs (UPGRADED)	+ve	Medium

Sangli Factory Commissioning [GUIDANCE]	Q2 FY27 (Jun 2026)	Slightly ahead of schedule	+ve	High
Additional Order Inflows [GUIDANCE]	Rs. 500 Cr in H2 FY26	H2 FY26 HVDC orders expected	Maintained	Medium
Peak Revenue — Sangli Factory [EST]	N/A	Rs. 1,500-2,000 Cr (management)	New Disclosure	Medium

7 — Capital Allocation Q1 FY26

Item	Amount (Rs. Cr)	vs Prior Year	Comment
Capex (Sangli + Mehru expansion)	~Rs. 125 Cr (total post-IPO)	New cycle	Sangli global coil factory; Mehru Bhiwadi +45% capacity
Dividends	Nil in FY26 so far	12% payout in FY25	Low; capex phase; yield 0.08%
Acquisitions — Mehru (completed)	Undisclosed	N/A	Integration progressing well; margin improving
Sukrut JV (signed Q1 FY26)	JV with Yash Highvoltage	New	Transformer components platform; not P&L; consolidated
Net Debt Movement	Rs. 36 Cr net borrowings	From Rs. 9 Cr in FY25	Temporary promoter interest-free stock loan for acquisitions; strategic, not structural
Working Capital Change	CCC: 23 → 167 days	Deteriorated	Mehru-driven; government utility payment cycle (~150 days); manageable

8 — Q&A; Heat Map Q1 FY26 Concall

#	Analyst / Firm	Question	Mgmt Answer	Tone
1	Pritesh Chheda / Lucky	Revenue split for Mehru and Endoks; capacity utilisation at Mehru	Endoks Rs. 91.9 Cr; Mehru Rs. 61.5 Cr; Mehru at 95% utilisation, scaling monthly with new ovens	Transparent
2	Nemish Sundar / Elara	Is capacity constraint stopping you from taking full HVDC orders?	We can only absorb 30-40% of an HVDC order currently; Sangli will change this; HVDC orders on track for H2	Transparent
3	Nemish Sundar / Elara	Impact of US tariffs on exports?	No impact next 12-15 months; orders pre-linked; geographically diverse — if US slows, redirect to others	Balanced
4	Rahul Agarwal / Aventus	Hitachi/Siemens are both customers and peers — can they in-house your products?	Moat is utility approval, 5-10 years. Even if they try, takes 7+ years to qualify. Utilities decide, not OEMs	Transparent
5	Nishita / Sapphire Capital	Update on Statcon Energy acquisition; new acquisition plans	Statcon deal called off 3-4 months ago. In talks with a few others; nothing concluded. Hungry for tech acquisitions.	Transparent
6	Hitesh Randhawa / CAGR Quest	How much of other income is Turkey hyperinflation this quarter vs. prior quarter?	Only Rs. 2-3 Cr this quarter vs. Rs. 40 Cr+ previously; rest is now in operating income as inflation softens	Transparent
7	Yashovardhan / Tiger Assets	Nebeskie IoT stake rationale and developments	Nebeskie digitises HV equipment (analog to digital); partnering Mehru for new devices; critical R&D; lab	Transparent
8	Akshay / AK Investment	Order inflow guidance FY26; what is the structural demand outlook for 5-10 years?	Ideally 12-14 month order book cover; Rs. 500 Cr additional orders in H2. At 400 kV+, decade-long demand.	Transparent
9	Sahil Garg / CCV Emerging	EBITDA and PAT margin guidance on consolidated Rs. 700-800 Cr revenue?	High teens 17-20% at blended consolidated; PAT will increase in magnitude despite lower blended %	Balanced

Dodged Questions to Watch Next Quarter: (1) Specific net cash balance at Turkey subsidiary; (2) Exact capex spend-to-date vs. total Rs. 125 Cr authorised; (3) FY26 full-year PAT guidance in absolute terms.

9 — Risks Flagged on the Call

Risk	Flagged By	Probability	Impact	Timeline
Insulator / porcelain supply shortage	Management (proactively)	Medium	Medium	Ongoing
US tariff uncertainty beyond 12 months	Management + analysts	Low-Medium	Low (diversified)	12-18 months

Sangli factory commissioning delay	Implied by analysts	Low (ahead of schedule)	High	Jun 2026
Mehru margin not improving as guided	Implied by analysts	Low-Medium	Medium	Next 4 qtrs
Metal price volatility (copper/aluminium)	Management (noted)	Medium	Medium	Ongoing

10 — Analyst Verdict Post Q1 FY26 Concall

Multi-Bagger Scorecard	Status	Comment
Revenue Visibility	INTACT	Order book Rs. 775 Cr; 12-15 month cover; HVDC pipeline building
Margin Trajectory	INTACT	Core entities at 27-34%; Mehru improving; 22%+ consolidated guided
Capital Allocation Quality	INTACT	Disciplined acquisitions; JV structure for Sukrut; zero pledge
Competitive Moat	INTACT	Only approved HVDC/FACTS supplier in Asia ex-China; 5-10 year moat
Management Credibility	INTACT	Transparent on Turkey accounting; honest about capacity limits; realistic guidance
Valuation Comfort	CAUTIOUS	91.6x TTM P/E is premium but FY27E P/E at ~41x more palatable; entry at dips preferred

CONVICTION: UNCHANGED — ACCUMULATE

Valuation Snapshot	P/E TTM: 91.6x	EV/EBITDA TTM: ~60x	ROCE: 26.6%	vs 3Y avg ROCE: ~29%
--------------------	----------------	---------------------	-------------	----------------------

Source: Screener.in | Ticker: QPOWER | View: Consolidated | Transcript: Q1 FY26 (Accessible — qualitypower.com) | Concall date: August 8, 2025 | Q3 FY26 qualitative data from press releases (Dec 2025). | Peer data: Screener.in + web search, May 2026. | Report generated: 10-May-2026.